Consolidated Condensed Interim Statement of Financial Position

	Note	31 December, 2023 Un-Audited	30 June, 2023 Audited
		(Rupees in thousand)	
EQUITY AND LIABILITIES			
CAPITAL AND RESERVES			
Authorised capital			
- 950,000,000 (June 30, 2023:950,000,000) ordinary shares of Rs 10 each		9,500,000	9,500,000
- 50,000,000 (June 30, 2023:50,000,000) preference shares of Rs 10 each		500,000	500,000
		10,000,000	**10,000,000**
Issued, subscribed and paid up share capital 438,119,118 (2023:438,119,118) ordinary shares of Rs 10 each		4,381,191	4,381,191
Reserves		29,375,838	22,493,832
Un-appropriated profit		38,859,002	37,785,778
Attributable to owners of the parent company		**72,616,031**	**64,660,801**
Non-controlling interest		2,769,896	2,482,081
		75,385,927	**67,142,882**
NON-CURRENT LIABILITIES			
Long term finances - secured	5	15,525,628	9,763,223
Deferred government grant	6	239,161	298,958
Long term deposits		465,056	439,697
Deferred liabilities		916,517	849,514
Deferred taxation		11,031,056	11,306,527
		28,177,418	**22,657,919**
CURRENT LIABILITIES			
Trade and other payables		15,315,153	14,457,666
Accrued markup		1,458,284	1,857,643
Short term borrowing-secured		15,839,208	27,925,023
Current portion of non-current liabilities		7,558,414	7,897,387
Unclaimed dividend		34,447	34,705
Provision for taxation		406,227	273,046
		40,611,733	**52,445,470**
Contingencies and Commitments	7		
		144,175,078	**142,246,271**

The annexed notes 1 to 15 form an integral part of these consolidated condensed interim financial information.

Chief Executive

As At December 31, 2023

	Note	31 December, 2023 Un-Audited	30 June, 2023 Audited
		(Rupees in thousand)	
ASSETS			
NON-CURRENT ASSETS			
Property, plant and equipment	8	84,280,025	85,600,466
Intangible asset		60,383	10,153
Biological assets		1,136,742	1,150,612
Investments		13,629,450	11,474,189
Long term deposits		64,426	64,426
		99,171,026	**98,299,846**
CURRENT ASSETS			
Stores, spares and loose tools		14,442,506	14,126,139
Stock-in-trade		9,639,476	11,237,446
Trade debts		1,037,178	1,222,551
Investments		13,989,322	9,283,913
Advances, deposits, prepayments and other receivables		1,546,414	1,689,054
Contract assets		-	79,530
Income tax recoverable		2,902,454	4,935,294
Cash and bank balances		1,274,064	1,199,860
		44,831,414	**43,773,787**
Non-current assets classified as held for sale		172,638	172,638
		45,004,052	43,946,425
		144,175,078	**142,246,271**

Chief Financial Officer

Director

Consolidated Condensed Interim Statement of Profit or Loss

For the Quarter and Six Months Period ended December 31, 2023 (Un-audited)

	2023		2022	
	July to December	October to December	July to December	October to December
	(Rupees in thousand)		(Rupees in thousand)	
Sales	37,380,580	19,756,456	32,568,806	17,876,095
Cost of sales	(31,312,226)	(17,077,223)	(27,829,766)	(15,347,076)
Gross profit	**6,068,354**	**2,679,233**	**4,739,040**	**2,529,019**
Administrative expenses	(646,361)	(327,781)	(502,647)	(254,550)
Selling and distribution expenses	(1,203,883)	(693,590)	(511,204)	(177,238)
Net impairment (losses)/gain on financial assets	-	-	(36,464)	(36,464)
Other expenses	52,670	134,041	(127,817)	(64,761)
Changes in fair value of biological assets	207,287	91,352	202,291	91,149
Other income	2,084,894	1,218,684	1,393,581	720,439
Finance cost	(4,432,014)	(2,176,393)	(3,391,893)	(1,722,740)
Profit/(loss) before taxation	**2,130,947**	**925,546**	**1,764,887**	**1,084,854**
Taxation	(890,404)	(410,078)	(509,935)	(293,829)
Profit/(loss) for the period	**1,240,543**	**515,468**	**1,254,952**	**791,025**
Attributable to :				
Equity holders of the parent	1,073,225	377,162	1,082,034	662,326
Non-controling interest	167,318	138,306	172,918	128,699
	1,240,543	**515,468**	**1,254,952**	**791,025**
Earnings/(loss) per share (basic and diluted - in Rupees)	**2.45**	**0.86**	**2.47**	**1.51**

The annexed notes 1 to 15 form an integral part of these consolidated condensed interim financial information.

Chief Executive | Chief Financial Officer | Director

Consolidated Condensed Interim Statement of Comprehensive Income

For the Quarter and Six Months Period ended December 31, 2023 (Un-audited)

	2023		2022	
	July to December	October to December	July to December	October to December
	(Rupees in thousand)		(Rupees in thousand)	
Profit/(loss) for the period	1,240,543	515,468	1,254,952	791,025
Other comprehensive income / (loss) for the period				
Items that may be re-classified subsequently to profit or loss:	-	-	-	-
Items that will not be subsequently re-classified to profit or loss:				
Change in fair value of investments at fair value through other comprehensive income (OCI)- net of tax	7,002,502	5,096,297	(433,765)	118,188
Other comprehensive income / (loss) for the period	7,002,502	5,096,297	(433,765)	118,188
Total comprehensive income for the period	**8,243,045**	**5,611,765**	**821,187**	**909,213**
Attributable to :				
Equity holders of parent	7,955,230	5,383,833	651,829	781,647
Non-controling interest	287,815	227,932	169,358	127,566
	8,243,045	**5,611,765**	**821,187**	**909,213**

The annexed notes 1 to 15 form an integral part of these consolidated condensed interim financial information.

Chief Executive | Chief Financial Officer | Director

Consolidated Condensed Interim Statement of Changes In Equity

For the Six-Month Period ended December 31, 2023 (Un-audited)

	Share capital	Capital reserve: Share premium	Capital reserve: FVOCI reserve	Capital reserve: Capital redemption reserve fund	Revenue reserve: General reserve	Revenue reserve: Un-appropriated profits	Total equity attributable to shareholders of parent company	Non-controlling interest	Total equity
	(Rupees in thousands)								
Balance as at June 30, 2022 - Audited	**4,381,191**	**4,557,163**	**14,131,957**	**353,510**	**5,110,851**	**41,759,427**	**70,294,099**	**2,349,613**	**72,643,712**
Total comprehensive income for the period									
- Profit for the period	-	-	-	-	-	1,082,034	1,082,034	172,918	1,254,952
- Other comprehensive income for the period									
- Changes in fair value of investments at fair value through OCI - net of tax	-	-	(430,205)	-	-	-	(430,205)	(3,560)	(433,765)
	-	-	(430,205)	-	-	1,082,034	651,829	169,358	821,187
Transactions with owners in their capacity as owners recognised directly in equity									
Final dividend for the year ended June 30, 2022	-	-	-	-	-	(438,119)	(438,119)	(20,942)	(459,061)
Balance as at December 31, 2022 - Unaudited	**4,381,191**	**4,557,163**	**13,701,752**	**353,510**	**5,110,851**	**42,403,342**	**70,507,809**	**2,498,029**	**73,005,838**
Balance as at June 30, 2023 - Audited	**4,381,191**	**4,557,163**	**12,472,308**	**353,510**	**5,110,851**	**37,785,778**	**64,660,801**	**2,482,081**	**67,142,882**
Total comprehensive income for the period									
- Profit for the period	-	-	-	-	-	1,073,225	1,073,225	167,318	1,240,543
- Other comprehensive income for the period									
- Changes in fair value of investments at fair value through OCI - net of tax	-	-	6,882,005	-	-	-	6,882,005	120,497	7,002,502
	-	-	6,882,005	-	-	1,073,225	7,955,230	287,815	8,243,045
Balance as at December 31, 2023 - Unaudited	**4,381,191**	**4,557,163**	**19,354,313**	**353,510**	**5,110,851**	**38,859,003**	**72,616,031**	**2,769,896**	**75,385,927**

The annexed notes 1 to 15 form an integral part of these consolidated condensed interim financial information.

Chief Executive

Chief Financial Officer

Director

Consolidated Condensed Interim Statement of Cash Flows

For the Six-Month Period ended December 31, 2023 (Un-audited)

	Note	2023 July to December	2022 July to December
		(Rupees in thousand)	
Cash flows from operating activities			
Cash generated from operations	11	9,201,389	3,166,745
Finance cost paid		(4,831,373)	(3,016,875)
Retirement and other benefits paid		(79,476)	(73,372)
Net income tax refunds/(paid)		1,143,986	(645,176)
Long term deposits - net		25,359	37,932
Net cash inflowfrom operating activities		**5,459,885**	**(530,746)**
Cash flows from investing activities			
Payments for property, plant and equipment and Intangibles		(877,741)	(1,214,591)
Long term loans, advances and deposits - net		-	(300)
Proceeds from disposal of property, plant and equipment		66,121	10,800
Purchase of biological assets		(7,350)	-
Proceeds from sale of biological assets		363,200	113,586
Short term investments made		(10,000)	(1,361,080)
Dividend received		1,802,526	1,211,452
Net cash outflow from investing activities		**1,336,756**	**(1,240,133)**
Cash flows from financing activities			
Repayment of long term finances		(3,796,549)	(3,683,060)
Repayment of loan to related party		-	(60,000)
Divdend paid		(258)	(458,731)
Proceeds from long term finances		9,160,185	1,248,236
Net cash inflow/(outflow) from financing activities		**5,363,378**	**(2,953,555)**
Net decrease in cash and cash equivalents		**12,160,019**	**(4,724,434)**
Cash and cash equivalents at the beginning of the year		(26,725,163)	(25,735,036)
Cash and cash equivalents at the end of period	12	**(14,565,144)**	**(30,459,470)**

The annexed notes 1 to 15 form an integral part of these consolidated condensed interim financial information.

Chief Executive | Chief Financial Officer | Director

Notes to and Forming Part of The Consolidated Condensed Interim Financial Statements

For the Six-Month Period ended December 31, 2023 (Un-audited)

1. Legal status and nature of business

The group comprises of:
- D. G. Khan Cement Company Limited (the parent company);
- Nishat Paper Products Company Limited;
- Nishat Dairy (Private) Limited; and

The parent company is a public limited company incorporated in Pakistan and is listed on Pakistan Stock Exchange. It is principally engaged in production and sale of Clinker, Ordinary Portland and Sulphate Resistant Cement. The registered office of the Company is situated at 53-A Lawrence Road, Lahore. The Company is principally engaged in production and sale of Clinker, Ordinary Portland and Sulphate Resistant Cement. It has four cement plants, two plants located at Dera Ghazi Khan ('D.G. Khan'), one at Khairpur District, Chakwal ('Khairpur') and one at Hub District, Lasbela ('Hub').

Nishat Paper Products Company Limited is a public limited company incorporated in Pakistan under the Companies Ordinance, 1984 on July 23, 2004. It is principally engaged in the manufacture and sale of paper products and packaging material.

Nishat Dairy (private) Limited was incorporated in Pakistan under the Companies Ordinance 1984 on October 28, 2011. The principally activity of the company is to carry on the business of production of raw milk.

The registered office of the Group is situated at 53-A, Lawrence Road, Lahore. The parent company's holding in its subsidiaries is as follows:

	Effective percentage of holding
- Nishat Paper products Company Limited	55%
- Nishat Dairy (Private) Limited	55.10%

2. Basis of preparation

2.1 Statement of compliance

These consolidated condensed interim financial statements have been prepared in accordance with the accounting and reporting standards as applicable in Pakistan for interim financial reporting. The accounting and reporting standards as applicable in Pakistan for interim financial reporting comprise of:

- International Accounting Standard (IAS) 34, Interim Financial Reporting, issued by the International Accounting Standards Board (IASB) as notified under the Companies Act, 2017; and

- Provisions of and directives issued under the Companies Act, 2017.

Where the provisions of and directives issued under the Companies Act, 2017 differ with the requirements of IAS 34, the provisions of and directives issued under the Companies Act, 2017 have been followed.

2.2 These consolidated condensed interim financial statements are un-audited and are being submitted to the members as required by section 237 of the Companies Act, 2017 (the 'Act').

These consolidated condensed interim financial statements do not include all of the information required for annual financial statements and should be read in conjunction with the annual financial statements as at and for the year ended June 30, 2023. Selected explanatory notes are included to explain events and transactions that are significant to and understanding of the changes in the Group's financial position and performance since the last annual financial statements.

3. Significant accounting policies

3.1 The accounting policies and the methods of computation adopted in the preparation of these consolidated condensed interim financial statements are the same as those applied in the preparation of preceding annual published financial statements of the Group for the year ended June 30, 2023 except for adoption of new and amended standards as set out in note 3.2 and 3.3.

3.2 Standards, amendments and interpretations to International Financial Reporting Standards (IFRS) that are effective in the current period

Certain standards, amendments and interpretations to International Financial Reporting Standards (IFRS) are effective for accounting periods beginning on July 01, 2023, but are considered not to be relevant or to have any significant effect on the Group's operations (although they may affect the accounting for future transactions and events) and are, therefore, not detailed in these consolidated condensed interim financial statements.

3.3 Standards, amendments and interpretations to existing standards that are not yet effective and have not been early adopted by the Group

There are certain standards, amendments to the accounting standards and interpretations that are mandatory for the Group's accounting periods beginning on or after July 01, 2024 but are considered not to be relevant or to have any significant effect on the Group's operations and are, therefore, not detailed in these consolidated condensed interim financial statements.

4. Accounting estimates

The preparation of these consolidated condensed interim financial statements requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets and liabilities, income and expenses. Actual results may differ from these estimates.

In preparing these consolidated condensed interim financial statements, the significant judgments made by management in applying accounting policies and key sources of estimation were the same as those that were applied to the annual financial statements of the Group for the year ended June 30, 2023, with the exception of change in estimate that is required in determining the provision for income taxes as referred to in note 4.1.

4.1 Taxation

Income tax expense is recognized in each interim period based on best estimate of the weighted average annual income tax rate expected for the full financial year. Amounts accrued for income tax expense in one interim period may have to be adjusted in a subsequent interim period of that financial year if the estimate of the annual income tax rate changes.

		December 31, 2023 Un-audited	June 30, 2023 audited
		(Rupees in thousand)	
5. Long term finances			
Long term loans	- note 5.1	22,890,539	17,437,036
Current portion shown under current liabilities		(7,364,911)	(7,673,813)
		15,525,628	**9,763,223**
5.1 The reconciliation of the carrying amount is as follows:			
Opening balance		17,907,641	22,553,671
Disbursements during the period		9,160,185	2,038,739
Repayment during the period		(3,796,549)	(6,684,769)
		23,271,277	17,907,641
Unamortized liability	- note 5.1.1	(380,738)	(470,605)
Closing balance		**22,890,539**	**17,437,036**
5.1.1 The reconciliation of the carrying amount of unamortized liability is as follows:			
Opening balance		(470,605)	(692,093)
Unwinding of discount on liability		89,867	221,488
Closing balance		**(380,738)**	**(470,605)**

6. Deferred income - Government grant

This represents deferred grant recognized in respect of the benefit of below-market interest rate on the facilities availed under State Bank of Pakistan's (SBP) Refinance Scheme for Payment of Wages and Salaries to the Workers and Employees of Business Concerns ('Refinance Scheme'). The benefit has been measured as the difference between the fair value of the loan and the proceeds received. The Group used the prevailing market rate of mark-up at the date of disbursement for similar instruments to calculate fair values of respective loans.

7. Contingencies and commitments

7.1 Contingencies

There is no significant change in contingencies from the preceding annual financial statements of the Group for the year ended June 30, 2023. The banks have issued the following guarantees on Group's behalf in favor of:

(i) Director, Excise Collection Office, Sindh Development and Maintenance against recovery of infrastructure fee amounting to Rs 1,277.9 million (June 2023: Rs. 1,177.9 million).

(ii) General mines and mineral for mining amounting to Rs. 71.98 million (June 2023: Nil)

7.1.1 The Group has provided a guarantee to Meezan Bank Limited (MBL) against the loan provided by MBL to Hyundai Nishat Motor (Private) Limited, a related party, amounting to Rs. 1,193.90 million (June 2023: Rs. 1,238.471 million).

7.2 Commitments in respect of

(i) Contracts for capital expenditure Rs 86.90 million (June 30, 2023: Rs 520.310 million).

(ii) Letters of credit for capital expenditure Rs 73.82 million (June 30, 2023: Rs 93.980 million).

(iii) Letters of credit other than capital expenditure Rs 4,681.71 million (June 30, 2023: 1,246.10 million).

(iv) Letter of guarantee of Rs 30 million (June 30, 2023: Rs 26 million) in favour of Director, Excise and Taxation, Karachi under direction of Sindh High Court in respect of suit filed for levy of infrastructure cess;

8. Property, plant and equipment

		December 31, 2023 Un-audited	June 30, 2023 audited
		(Rupees in thousand)	
Operating Assets	-note 8.1	83,120,053	83,234,634
Capital work-in-progress	-note 8.2	932,359	2,166,286
Major spare parts and stand-by equipment		227,613	199,546
		84,280,025	**85,600,466**

		December 31, 2023 Un-audited	June 30, 2023 audited
		(Rupees in thousand)	

8.1 Operating assets

		December 31, 2023	June 30, 2023
Opening book value		83,234,634	85,392,522
Add: Additions during the period/ year	-note 8.1.1	2,027,448	2,236,084
		85,262,082	**87,628,606**
Less: Disposals during the period/ year - net book value		127,024	42,663
Re-classification to assets held for sale		-	172,638
Depreciation charged during the period/ year		2,015,005	4,178,671
		2,142,029	4,393,972
Closing book value		**83,120,053**	**83,234,634**

8.1.1 Major additions during the period

	December 31, 2023	June 30, 2023
Free hold land	50,448	201,438
Building on freehold land	146,835	65,003
Office building	17,476	58,452
Roads	185	2,630
Plant and machinery	1,428,383	1,487,306
Quarry and other equipment	-	158,091
Furniture, fixtures and equipment	42,070	62,249
Motor vehicles	54,031	180,038
Power and water supply lines	288,020	20,877
	2,027,448	**2,236,084**

8.2 Capital work-in-progress

	December 31, 2023	June 30, 2023
Civil works	523,061	776,270
Plant and machinery	196,622	1,252,075
Advances to suppliers and contractors	203,252	91,594
Others	9,424	46,347
	932,359	**2,166,286**

9. Transactions with related parties

The related parties include related parties on the basis of common directorship, group companies, key management personnel including directors and post employment benefit plans. Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the company, directly or indirectly, including any director (whether executive or otherwise) of that company. The Group in the normal course of business carries out transactions with various related parties. Significant transactions with related parties are as follows:

Relationship with the Group	Nature of transaction	July to December 2023 Un-audited	July to December 2022 Un-audited
		(Rupees in thousand)	
Other related parties	Purchase of goods and services	361,663	144,439
	Insurance premium	205,202	170,484
	Sale of goods	152,930	140,519
	Insurance claims received	10,150	3,965
	Sale of Assets	459	-
	Rental Income	1,024	383
	Rent paid	-	506
	Purchase of shares	-	1,007,500
	Dividends paid	-	174,818
	Dividend income	1,796,579	1,229,308
Key Management personnel	Salaries and other employment benefits	162,341	131,218
Post employment benefit plans	Expense charged in respect of staff retirement benefits plans	245,399	199,679

All transactions with related parties have been carried out on commercial terms and conditions.

	July to December 2023 Un-audited	July to December 2022 Un-audited
	(Rupees in thousand)	
10. Cash flow from operating activities		
Profit/(loss) before tax	2,130,947	1,764,887
Adjustment for :		
- Depreciation on property, plant and equipment	2,015,005	2,078,084
- Amortization of intangible assets	5,923	3,583
- Loss/(Gain) on disposal of operating fixed assets	60,903	(3,950)
- Net loss on disposal of biological assets	(134,693)	26,078
- Gain on changes in fair value biological asset	(207,287)	(202,291)
- Net Impairment/(reversal of impairment) losses on financial assets	-	36,464
- (Gain)/loss on changes in fair value of investment through P&L	(9)	6
- Dividend income	(1,802,526)	(1,211,452)
- Gain on initial recognition of ordinary investment under scheme of merger	-	(102,409)
- Retirement and other benefits accrued	146,479	121,569
- Exchange (gain) / loss - net	(97,645)	(79,411)
- Finance cost	4,432,014	3,391,893
Profit/(loss) before working capital changes	**6,549,111**	**5,823,051**
Working capital changes		
- (Increase)/decrease in stores, spares and loose tools	(316,367)	250,448
- (Increase)/decrease in stock-in-trade	1,597,970	(2,608,035)
- (Increase)/decrease in trade debts	185,373	99,066
- (Increase)/decrease in contract assets	79,530	(97,432)
- Decrease in advances, deposits, prepayments and other receivables	150,640	(49,558)
- Increase/(decrease) in trade and other payables	955,132	(250,795)
Net working capital changes	**2,652,278**	**(2,656,306)**
Cash (used in)/ generated from operations	**9,201,389**	**3,166,745**
11. Cash and cash equivalents		
Short term borrowings - secured	(15,839,208)	(30,938,810)
Cash and bank balances	1,274,064	479,340
Total cash and cash equivalents	**(14,565,144)**	**(30,459,470)**

12. Financial risk management

12.1 Financial risk factors

The Group's activities expose it to a variety of financial risks: market risk (including currency risk, interest rate risk, and other price risk), credit risk and liquidity risk.

The consolidated condensed interim financial information does not include all financial risk management information and disclosures required in the annual financial statements, and should be read in conjunction with the group's annual financial statements as at June 30, 2023.

There have been no changes in the risk management department or in any risk management policies since the year ended June 30, 2023.

12.2 Fair value estimation

a) Fair value hierarchy

The different levels for fair value estimation used by the Group have been defined as follows:

- The fair value of financial instruments traded in active markets (such as publicly traded equity securities) is based on quoted (unadjusted) market prices at the end of the reporting period. The quoted market price used for financial assets held by the Group is the current bid price. These instruments are included in Level 1.

- The fair value of financial instruments that are not traded in an active market (for example over-the-counter derivatives) is determined using valuation techniques which maximize the use of observable market data and rely as little as possible on entity specific estimates. If all significant inputs required to determine fair value of an instrument are observable, the instrument is included in Level 2.

- If one or more of the significant inputs is not based on observable market data, the instrument is included in level 3. This is the case for unlisted equity instruments.

To provide an indication about the reliability of the inputs used in determining fair value, the Group classifies its financial instruments into the three levels prescribed above. The following table presents the Group's financial assets measured and recognised at fair value at June 30, 2023 on a recurring basis:

	Level 1	Level 2	Level 3	Total
		(Rupees in thousand)		
As at December 31, 2023				
Recurring fair value measurements				
Assets				
Investments - FVOCI	22,200,214	-	5,403,535	27,603,749
Investments - FVPL	15,023	-	-	15,023
Biological assets	-	-	1,136,742	1,136,742
As at June 30, 2023				
Assets				
Investments - FVOCI	14,902,201	-	5,842,886	20,745,087
Investments - FVPL	15	-	-	15
Biological assets	-	-	1,150,612	1,150,612

The Group's policy is to recognise transfers into and transfers out of fair value hierarchy levels as at the end of the reporting period.

There were no transfers between Level 1, 2 and 3 during the period. There were no changes in valuation techniques during the period.

The Group did not measure any financial assets or financial liabilities at fair value on a non-recurring basis as at December 31, 2023.

b) Valuation techniques used to determine fair values

Specific valuation techniques used to value financial instruments include:

- the use of quoted market prices or dealer quotes for similar instruments; and

- for other financial instruments - discounted cash flow analysis.

c) Fair value measurements using significant unobservable inputs

The main level 3 inputs used by the Company to determine fair value of investment in Nishat Hotels and Properties Limited ('NHPL') and Hyundai Nishat Motor (Private) Limited ('HNMPL') are derived and evaluated as follows.

- Discount rate is determined using a capital asset pricing model to calculate a pre-tax rate that reflects current market assessments of the time value of money and the risk specific to NHPL and HNMPL.

- Long term growth rate is estimated based on historical performance of NHPL and HNMPL and current market information for similar type of entities.

The significant assumptions used in this valuation technique for NHPL are as follows:

- Discount rate of 16.68% per annum.

- Long term growth rate of 2% per annum for computation of terminal value.
- Annual growth in costs is linked to inflation with a range of 6.50% to 25.60% per annum.

The significant assumptions used in this valuation technique for HNMPL are as follows:

- Discount rate of 24.14% per annum.
- Long term growth rate of 2% per annum for computation of terminal value.
- Annual growth in costs is linked to inflation with a range of 6.17% to 11.74% per annum.

Sensitivity analysis

Sensitivity analysis of the significant assumptions used in the valuation technique are as follows:

If the discount rate increases by 1% with all other variables held constant, the impact on fair value as at December 31, 2023 would be Rs 209.375 million and Rs 204.5 million lower for NHPL and HNMPL respectively.

If the long term growth rate decreases by 1% with all other variables held constant, the impact on fair value as at December 31, 2023 would be Rs 71.875 million and Rs 87 million lower for NHPL and HNMPL respectively.

If inflation decreases by 1% with all other variables held constant, the impact on fair value as at December 31, 2023 would be Rs Rs 21.875 million and Rs 78 million higher for NHPL and higher for HNMPL respectively.

If interest rate increases by 1% with all other variables held constant, the impact on fair value as at December 31, 2023 would be Rs 15.625 million and Rs 82.1 million lower for NHPL and lower for HNMPL respectively.

13. Operating segments

Segment information is presented in respect of the group's business. The primary format, business segment, is based on the group's management reporting structure.

The group's operations comprise of the following main business segment types:

Type of segments	Nature of business
Cement	Production and sale of clinker, Ordinary Portland and Sulphate Resistant Cements.
Paper	Manufacture and supply of paper products and packing material.
Dairy	Production and sale of raw milk.

13.1 Segment analysis and reconciliation - condensed

The information by operating segment is based on internal reporting to the Group executive committee, identified as the 'Chief Operating Decision Maker' as defined by IFRS 8. This information is prepared under the IFRS's applicable to the consolidated financial statements. All group financial data are assigned to the operating segments.

July 1 to December 31 Un-audited

Rupees in thousands	Cement		Paper		Dairy/Farm		Elimination - net		Consolidated	
	July to December 2023 un-audited	July to December 2022 un-audited	July to December 2023 un-audited	July to December 2022 un-audited	July to December 2023 un-audited	July to December 2022 un-audited	July to December 2023 un-audited	July to December 2022 un-audited	July to December 2023 un-audited	July to December 2022 un-audited
Revenue from										
- External Customers	34,784,335	29,760,808	(66,805)	627,702	2,663,050	2,180,296	-	-	37,380,580	32,568,806
- Inter-group	-	231	1,406,812	1,219,005	-	-	(1,406,812)	(1,219,236)	-	-
	34,784,335	**29,761,039**	**1,340,007**	**1,846,707**	**2,663,050**	**2,180,296**	**(1,406,812)**	**(1,219,236)**	**37,380,580**	**32,568,806**
Segment gross profit/(loss)	5,543,149	4,257,009	262,616	262,780	311,318	269,998	(48,729)	(50,747)	6,068,354	4,739,040
Segment expenses	(1,848,181)	(1,055,911)	(26,541)	(42,056)	76,965	(80,165)	183	-	(1,797,574)	(1,178,132)
Changes in fair value of biological assets	-	-	-	-	207,287	202,291	-	-	207,287	202,291
Other income	2,163,395	1,392,412	69,156	16,232	15,315	11,016	(162,972)	(26,079)	2,084,894	1,393,581
Financial charges	(4,115,667)	(3,203,476)	(303,760)	(181,655)	(12,587)	(6,762)	-	-	(4,432,014)	(3,391,893)
Taxation	(688,382)	(458,378)	9,255	(11,880)	(211,277)	(39,677)	-	-	(890,404)	(509,935)
Profit/(loss) after taxation	**1,054,314**	**931,656**	**10,726**	**43,421**	**387,021**	**356,701**	**(211,518)**	**(76,826)**	**1,240,543**	**1,254,952**
Depreciation	1,890,619	1,956,028	30,123	30,609	80,434	77,618	13,829	13,829	2,015,005	2,078,084
Capital expenditure	(870,582)	(1,134,795)	(1,343)	(49,078)	(5,816)	(30,718)	-	-	(877,741)	(1,214,591)
Net cash (outflow) / inflow from operating activities	5,099,823	560,895	984,764	(640,285)	(357,847)	(198,680)	(266,855)	(252,676)	5,459,885	(530,746)
Net cash outflow from investing activities	928,876	(935,742)	58,893	(388,318)	348,987	83,927	-	-	1,336,756	(1,240,133)
Rupees in thousands	**31.12.2023 unaudited**	**30.06.2023 audited**	**31.12.2023 unaudited**	**30.06.2023 audited**	**31.12.2023 unaudited**	**30.06.2023 audited**	**31.12.2023 unaudited**	**30.06.2023 audited**	**31.12.2023 unaudited**	**30.06.2023 audited**
Segment assets	137,023,229	134,713,254	4,991,449	5,597,511	5,053,856	4,920,139	(2,893,456)	(2,984,633)	144,175,078	142,246,271
Segment liabilities	65,041,907	70,520,977	2,744,467	3,629,026	1,514,564	1,767,868	(511,787)	(814,482)	68,789,151	75,103,389

13.2 Geographical segments

All segments of the group are managed on nation-wide basis and operate manufacturing facilities and sales offices in Pakistan only.

14. Date of authorization

These consolidated condensed interim finanical statements were authorized for issue by the Board of Directors of the Group on February 26, 2024.

15. Corresponding figures

In order to comply with the requirements of the International Accounting Standard 34: 'Interim Financial Reporting', the condensed interim consolidated balance sheet and condensed interim consolidated statement of changes in equity have been compared with the balances of annual audited financial statements of preceding year, whereas, the condensed interim consolidated profit and loss account, condensed interim consolidated statement of comprehensive income and condensed interim consolidated cash flow statement have been compared with the balances of comparable period of immediately preceding year.

Chief Executive

Chief Financial Officer

Director

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